

PREFACE: CONSISTENTLY NOT STUPID

THIS BOOK IS designed to reduce mistakes—*your mistakes*—with money. Tiny errors, epic fails, and everything in between. If only you could learn how to *avoid the avoidable errors* investors make all the time, your life would be so much richer and less stressful!

That is my charge: To share what I have learned so you can skip the most common mistakes people make with their capital. Avoid these unforced errors and your financial well-being will eclipse 90% of your peers.

Most finance authors don't take this approach. The typical investing book goes the "How-To" route. They want to teach you—in a dozen chapters or so—everything you need to learn to become financially successful. Execute these 100 strategies, and start adding up the dollars!

That approach fails in the real world. Even if you do all the right things, it only takes a few mistakes to undo all your prior efforts.

This truth is counterintuitive: Avoiding errors is more important than scoring wins. This wonderful insight came from Charley Ellis in a 1975 *Financial Analysts Journal* paper titled "The Loser's Game."¹ Investing, Ellis observed, is similar to tennis, in that most people lose by making unforced errors. The way to win the "loser's game" is simply to *lose less*: Make fewer errors, and let the other guy beat themselves. A decade later, Ellis expanded this thesis into his classic book *Winning the Loser's Game*.²

How Not To Invest will do that too: In the modern context of social media, Reddit memes, and 24/7 news, I am going to teach you to avoid the many mistakes that undo most investors.

More simply stated: Make fewer errors, make more money.

Berkshire Hathaway's inimitable Charlie Munger phrased it this way: "It's